PARTNERS of the AMERICAS
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Audit and Spot Check Policy

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Enacted

John McPhail

President & CEO

1424 K Street NW Suite 700 Washington DC 20005 202.628.3300 www.partners.net

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1. Objective

The policy establishes a robust, risk-based framework for conducting spot checks and internal program audits across all Partners of the Americas (Partners) programs.

The policy is designed to ensure compliance with 2 CFR 200 (Uniform Guidance), donor regulations, cooperative agreement requirements, and internationally recognized internal control and audit standards.

It also strengthens prevention, early detection, and remediation of fraud, waste, abuse, and noncompliance.

2. Scope and Applicability

This policy applies to headquarters, country offices, field operations, subrecipients, contractors, and implementing partners administering Partners funding. All financial, procurement, contracts, payroll, assets, and programmatic transactions are subject to auditing.

Partners Director of Grants & Contracts or their designee will be responsible for conducting spot checks and audits in accordance with the policy below. Upon completion of each spot check and audit, a report will be sent to the results of the spot checks will be communicated via email to the President & CEO and the ELT member of the affected Department.

3. Spot Check Audit Frequency

Partners will apply a risk-based monitoring framework to the frequency of its spot checks and audits. Spot check audits will be conducted based on the risk level and dollar value of each project as outlined below.

3.1 Risk Level

Based on each project's annual budget in USD, audit history, and operating context, a risk level will be determined. For a program to be classified in a category, it must meet at a minimum two of the criteria in the particular category. The basis for risk level is as follows:

- **High Risk:**
  - Greater than $2M annual budget
  - New Country where Partners has not recently operated (past 3 years)
  - Prior findings
  - High-risk environment (high level of corruption locally, other concerns, etc.)

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- **Medium Risk:**
  - Between $500K–$2M annual budget
  - New Project but in country where Partners already operates
  - Stable environment

- **Low Risk:**
  - Less than $500K
  - New or Extended Project
  - Strong compliance history and environment

3.2 Spot Check Frequency Based on Risk Level

Based on the ranking of each project in accordance with Section 3.1, the spot check will be conducted based on the following frequency:

- **High Risk:** Quarterly spot checks
- **Medium Risk:** Semi-annual spot checks
- **Low Risk:** Annual spot check
- **Random Audits** can be conducted anytime based on Director of Compliance concerns, program or administration team request, or situations that arise which warrant a spot check.

4. Procurement and Contract Testing Requirements

Spot check and audit procedures must include detailed testing of procurement and contracting activities to confirm compliance with 2 CFR 200 procurement standards, donor requirements, and Partners internal procurement policies. Reviews must verify that procurements demonstrate:

- **Full and open competition**, or properly documented justification for noncompetitive procurement in accordance with allowable circumstances.
- **Appropriate procurement method and threshold application** (micro-purchase, small purchase, competitive proposal, or sole source).
- **Documented cost or price analysis** for procurements exceeding the Simplified Acquisition Threshold or where otherwise required.
- **Independent vendor selection and evaluation**, free from conflicts of interest or undue influence.
- **Signed conflict-of-interest form** from staff involved in the procurement process, when applicable.
- **Proper contractual documentation**, including scope of work, period of performance, deliverables, payment terms, and required federal provisions.

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- **Evidence of receipt and acceptance of goods or services** prior to payment authorization.
- **Accurate financial coding and budget allowability** consistent with the approved award budget.
- **Vendor selection rationale** is clearly documented and retained in the procurement file.
- **Contracts and purchase orders** include all required federal flow-down provisions, as applicable.
- **Deliverables are received, inspected, and approved** prior to payment.
- **Payments align with contract terms**, milestones, or deliverable acceptance (where it can be reviewed).

4.1 Procurement and Contract Risk Level Based Sampling

For the period under review, procurement testing must follow a tiered, risk-based approach. The tier approach for sampling is as follows:

I. **High-Value Transactions**
   a. **100%** review is required for all procurements with a total value **greater than $100,000 USD**.

II. **Moderate-Value Transactions**
   a. A **risk-based sample** must be selected from procurements below **$100,000 USD** but above the micro-purchase threshold (based on procurement policy for home and field office limits)
      i. The minimum sample size must equal the **greater of**:
         1. **10% of those transactions**, or
         2. **Five transactions per review period**,
            unless a higher sample size is warranted based on risk indicators (e.g., repeat vendors, split purchases, or weak documentation).

III. **Low-Value Transactions**
   a. Transactions **below the micro-purchase threshold** (which is determined by the procurement policy for both home and field office) must be tested using **random sampling** sufficient to achieve **at least 5% coverage of those transactions** for the review period.

4.2 Expansion of Procurement and Contract Testing

If procurement noncompliance, missing competition, conflicts of interest, or unsupported costs are identified:

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- Testing must be expanded to additional procurements and vendors.
- Questioned costs must be calculated and documented.
- Major violations as defined in Section 9, must be escalated to the President & CEO immediately within 1 business day. All other minor findings will be included in the report provided to the President & CEO.

5. Expense Transaction Testing Requirements

Spot checks must include detailed testing of expense transactions to confirm compliance with donor regulations, organizational policy, and generally accepted internal control standards. Spot checks must verify allowability, allocability, reasonableness, documentation, approvals, and correct budget coding of expenditures. Testing must verify that transactions are:

- **Allowable** under applicable donor rules, including 2 CFR 200 Subpart E and award-specific restrictions.
- **Allocable** to the benefiting program or cost objective.
- **Reasonable and necessary** for performance of the award.
- **Accurately supported** by complete, accurate, and properly retained source documentation.
- **Approved** in accordance with delegated authority and segregation-of-duties requirements.
- **Correctly recorded and coded** to the appropriate general ledger account, funding source, and budget line.
- **Recognized in the proper accounting period** and consistent with revenue recognition requirements, where applicable.

5.1 Expense Risk Level Based Sampling

For the period under review, the transaction testing must be performed using a risk-based, tiered sampling approach designed to provide sufficient audit evidence while prioritizing higher-risk expenditures. The tier approach for sampling is as follows:

I. **High-Value Transactions**
   a. **100%** review is required for all individual expense or revenue transactions **greater than $50,000 USD**.
      i. For subrecipients it is for expense reports over $50,000 USD average monthly

II. **Moderate-Value Transactions**

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a. A **risk-based sample** must be selected from transactions **between $10,000 and $99,999 USD**.
    i. The minimum sample size must equal the **greater of**:
        1. **25% of those transactions**, or
        2. **Five transactions per cost category**,
           unless a higher sample size is warranted based on risk indicators (e.g., new vendor, prior findings, unusual timing, split purchases, or weak controls).
        3. For subrecipients it is for expense reports over $25,000 USD average monthly

III. **Low-Value Transactions**

a. Transactions **below $10,000 USD** must be tested using **random sampling** sufficient to achieve **at least 10% coverage of those transactions** for the review period.
    i. For subrecipients it is for expense reports under $25,000 USD average monthly

5.2 Expansion of Expense Testing

If **material errors, unsupported costs, internal control failures, or indicators of fraud** are identified:

- The sample size must be expanded immediately until the extent of risk is understood.
- Questioned costs must be quantified and documented.
- Major violations as defined in Section 9, must be escalated to the President & CEO immediately within 1 business day. All other minor findings will be included in the report provided to the President & CEO.

6. Human Resources and Personnel Testing Requirements

Spot checks must include detailed testing of human resources processes, personnel files, and employee-related transactions to confirm compliance with donor regulations, organizational policies, labor laws, and generally accepted internal control standards. Testing must ensure that hiring, compensation, benefits, and employee-related procurements are properly authorized, documented, and compliant with Partners salary scale. Testing must verify that:

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- **Recruitment and hiring processes are conducted in accordance with organizational policy**, including proper approvals, competitive selection (where required), and documentation of hiring decisions.
- **Employee files are complete, accurate, and securely maintained**, including employment agreements, job descriptions, salary history, and required compliance documentation.
- **Compensation, benefits, and allowances are authorized, reasonable, and consistent** with approved salary scales, donor regulations, and local labor laws.
- **Changes in employment status are documented** (e.g., promotions, salary adjustments, terminations). This include ensuring properly approved and documented paperwork.
- **Segregation of duties** is maintained across hiring, payroll processing, and approval functions.
- **Consultants and individual contractors are properly classified** and not treated as employees in violation of applicable regulations.
- **Employee equipment documented** (e.g., equipment issued to staff) are properly authorized, supported, and tracked.
- **Required background checks, conflict-of-interest disclosures, and other compliance requirements are completed and documented**, where applicable.

6.1 HR Risk Level Based Sampling

For the period under review, human resources testing must be performed using a risk-based, tiered sampling approach designed to provide sufficient audit evidence while prioritizing higher-risk personnel actions and transactions. The tier approach for sampling is as follows:

I. **High-Risk Personnel Actions**
   a. **100%** review is required for:
      i. Senior leadership hires and terminations (Grade D in the salary scale and above)
      ii. Salary adjustments or bonuses exceeding $10,000 USD annually, or 10% of the salary, whichever is lower
      iii. New senior level hires (top two tiers) in high-risk environments or countries where Partners has not recently operated programs (no recent projects in last 3 years)
      iv. Any employees or consultants with prior findings or identified risks

II. **Moderate-Risk Personnel Actions**
   a. A **risk-based sample** must be selected from:

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i. Standard new hires, contract renewals, and salary adjustments
ii. The minimum sample size must equal 25% of those transactions or personnel files, or a minimum of five (5) employee files per review period:
    1. Unless a higher sample size is warranted based on risk indicators (e.g., high turnover, decentralized hiring, prior findings, or weak HR controls).

III. **Low-Risk Personnel Actions**
    a. Remaining employee files and HR transactions must be tested using random sampling sufficient to achieve at least 10% coverage of personnel files for the review period.

6.2 Expansion of HR Testing

If **noncompliance, internal control weaknesses, payroll errors, misclassification of employees, or indicators of fraud** are identified:

- The sample size must be expanded immediately until the extent of risk is understood.
- Questioned costs must be quantified and documented.
- Major violations as defined in Section 9, must be escalated to the President & CEO immediately within 1 business day. All other minor findings will be included in the report provided to the President & CEO.

7. Subrecipient Monitoring and Testing Requirements

Partners is implementing a risk-based subrecipient monitoring framework to ensure that all subawards are administered in compliance with 2 CFR 200, donor requirements, and the terms and conditions of each subaward agreement. Monitoring activities must provide reasonable assurance that:

- **Subrecipient expenditures are allowable, allocable, reasonable, and properly supported** in accordance with 2 CFR 200 Subpart E.
- **Programmatic performance and deliverables** are achieved in accordance with the approved scope of work and performance indicators,
- **Financial management systems and internal controls** meet minimum federal standards.
- **Required audits** under 2 CFR 200 Subpart F are completed, reviewed, and resolved.
- **Subaward terms, special conditions, and reporting requirements** are fully enforced.

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For pre-award and annual risk assessments, please see Partners full Risk Assessment Subrecipient vs Contractor Policy.

7.1 Subrecipient Risk Level Based Sampling

Subrecipient transaction testing must follow a tiered, value-based methodology applied to the total annual subaward value for the period under review.

I. **High-Value Transactions**
   1. **100%** review is required for one month's expense report
      i. Where invoice volume is high, sampling may be applied 60% of total invoiced value.

II. **Moderate-Value Transactions**
   1. **50%** review is required for one month's expense report

III. **Low-Value Transactions**
   1. **25%** review is required for one month's expense report

7.2 Expansion of Subrecipient Testing

If procurement noncompliance, missing competition, conflicts of interest, or unsupported costs are identified:

- Expand testing to additional invoices or the full population, as appropriate.
- Questioned costs must be calculated and documented.
- Major violations as defined in Section 9, must be escalated to the President & CEO immediately within 1 business day. All other minor findings will be included in the report provided to the President & CEO.

8. Compliance Matrix and Award Decision Documentation Testing Requirements

Spot checks must include detailed testing of compliance matrices and award decision-making documentation to confirm compliance with donor regulations, organizational policies, and procurement standards. Testing must ensure that funding decisions and award justifications are transparent, properly documented, and aligned with applicable requirements. Testing must verify that:

- **A complete and accurate compliance matrix is maintained** for each award and is updated.

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- **Approval from donors is readily available** and documented in writing.
- **Any deviations from standard procedures are documented** with donor approval (e.g., sole source, limited competition, budget changes, program changes/waivers, etc.).
- **Required approvals for award decisions are obtained** from the Grants/Agreement individual authorized to provide approval (e.g. approval for subrecipients, key personnel, M&E plans, workplans, disposition plans, vehicles, equipment purchases, etc.).
- **Award decisions are compliant with 2 CFR 200** and any donor-specific requirements.

8.1 Compliance Matrix and Award Decision Risk Level Based Sampling

For the period under review, testing must be performed using a risk-based, tiered sampling approach designed to provide sufficient audit evidence while prioritizing higher-risk award decisions and approvals. The tier approach for sampling is as follows:

I. **High Risk:**
   a. Greater than $2M annual budget
   b. New Country where Partners has not recently operated (past 3 years)
   c. Prior findings
   d. High-risk environment (high level of corruption locally, other concerns, etc.)

II. **Medium Risk:**
   a. Between $500K–$2M annual budget
   b. New Project but in country where Partners already operates
   c. Stable environment

III. **Low Risk:**
   a. Less than $500K
   b. New or Extended Project
   c. Strong compliance history and environment

8.2 Expansion of Compliance Matrix and Award Decision Testing

If **inconsistencies in documentation, undocumented award decisions, noncompliance with donor standards, or indicators of fraud** are identified:

- The sample size must be expanded immediately until the extent of risk is understood.
- Questioned costs must be quantified and documented.

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- Major violations as defined in Section 9, must be escalated to the President & CEO immediately within 1 business day. All other minor findings will be included in the report provided to the President & CEO.

9. Documentation and Results Reporting

All spot check audit testing must be fully documented, reviewable, and retained in a manner that provides sufficient, appropriate audit evidence to support conclusions, questioned costs, and corrective actions. Documentation and reporting must be clear enough that an independent reviewer could understand the work performed, evidence obtained, and basis for conclusions without additional explanation.

The results of the spot checks will be communicated via email to the President & CEO and the ELT member of the affected Department, excepting issues pertaining directly to the latter. Upon review of the reports, appropriate communications and actions will then be communicated to the corresponding Department team members. The role of the compliance team is not to enforce corrective action, but rather to identify corrective actions that will be enforced through the appropriate level within the affected Department.

The email report will include the following:

1. **Review identification**
    - Program, country, or subrecipient reviewed
    - Review period covered
2. **Scope and methodology summary**
    - Functional areas reviewed (e.g., expenses, procurement, and contracts, subrecipient invoices)
    - Sampling approach and number of items tested
3. **Overall conclusion**
    - Statement indicating whether testing found:
        - No exceptions, **or**
        - Minor issues addressed through informal follow-up
4. **Summary of minor violations (if applicable)**
    - Brief description of the issue
    - Corrective action requested
5. **Summary of major violations (if applicable)**

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- Major violations identified during spot checks or audits require immediate escalation, and corrective action due to their potential financial, legal, and reputational impact on Partners. See Section 9.1 for major violation reporting.
- A **major violation** includes, but is not limited to:
  - Indicators of fraud, corruption, or intentional misrepresentation
  - Material questioned costs or systemic unallowable expenditures
  - Significant internal control failures or breakdown in segregation of duties
  - Unauthorized procurements, conflicts of interest, or noncompliance with competition requirements
  - Falsified, altered, or missing supporting documentation
  - Repeated or unresolved findings from prior audits
  - Noncompliance that could result in donor disallowances, penalties, or award termination

The reports will be issued via email or memorandum. The final version will be saved in the official compliance file of the project.

9.1 Major Violation Reporting

Upon identification of a major violation, the following actions must be taken immediately:

1. The Director of Compliance must notify the President & CEO within 1 business day.
2. Immediate action will be taken based on the severity, and may include:
   a. Affected transactions, payments, procurements, or subrecipient disbursements may be temporarily suspended pending review.
   b. Access to financial systems or delegated authorities may be restricted.
3. A documented investigation must be conducted, which may include expanded testing and interviews with relevant personnel.
4. All questioned costs must be fully quantified and documented. An assessment must be made regarding potential financial exposure, donor reporting obligations, and legal implications.
5. A formal corrective action plan must be developed and implemented immediately. Disciplinary measures, up to and including termination of staff, contractors, or subrecipient agreements, may be applied as appropriate.
6. If required in accordance with 2 CFR 200 and award terms, material violations must be reported to the donor in a timely manner, in coordination with the President & CEO.
7. The affected program, office, or subrecipient will be subject to increased risk classification and more frequent spot checks or audits.

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8. A major violation is only considered closed once all corrective actions, recoveries, and required reporting have been completed and verified.

9.2 Timeline for Corrective Action

Partners expect that all spot check findings will be resolved timely and in compliance with 2 CFR 200. The Program or Administrative Unit Director is expected to respond to the results within 5 business days via email and communicate a corrective action plan. The corrective action plan must be completed within 60 days of the spot check finding.

Note for major violations as defined in Section 9, the timeline may require immediate response and correction if indicated by the Director of Compliance.

In coordination with the Department ELT member, the Director of Compliance will conduct a follow-up to verify corrective actions taken. An issue is considered closed only after full corrective action is verified and documented. If a finding is not resolved within the 60-day period, the Director of Compliance will escalate to the President & CEO.

10. Policy Review and Updates

This policy must be reviewed at least every two years or sooner if regulations, donor rules, or organizational risk conditions change.

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CERTIFICATE *of* SIGNATURE

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DOCUMENT COMPLETED BY ALL PARTIES ON
08 APR 2026 00:12:50
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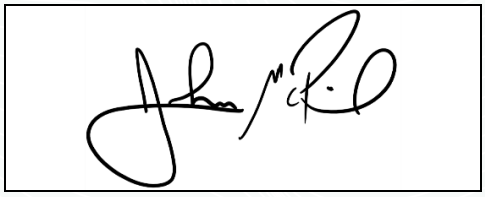
SIGNER	TIMESTAMP	SIGNATURE
JOHN MCPHAIL EMAIL JMCPHAIL@PARTNERS.NET	SENT 07 APR 2026 21:21:25 VIEWED 08 APR 2026 00:12:34 SIGNED 08 APR 2026 00:12:50	 IP ADDRESS 71.120.15.226 LOCATION SPRINGFIELD, UNITED STATES

RECIPIENT VERIFICATION

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